13BA252 – RESEARCH METHODOLOGY (LAB)

A STUDY ON INFLUENCE OF FOREIGN BRANDS ON THE CUSTOMER PREFERENCE IN THEIR CHOICE OF COSMETICS

R. JEYA SRI (13MBA033)

I – MBA B

Department of Management Studies,

Mepco Schlenk Engineering College, Sivakasi.

TABLE OF CONTENTS

Chapter	Topics	Page No.
1.	**INTRODUCTION**	**3**
	1.1 Introduction	**3**
	1.2 Research Background	**3**
	1.3 Problem Statement	**5**
	1.4 Scope of the study	**5**
	1.5 Study Objective	**5**
2.	**LITERATURE SURVEY**	**6**
3.	**RESEARCH DESIGN**	**8**
	3.1 Data	**8**
	3.1.1 Nature of data	**8**
	3.1.2 Source of data	**8**
	3.1.3 Tools for data collection	**8**
	3.2 Sample Design	**8**
	3.2.1 Sample method	**8**
	3.2.2 Sample size	**8**
	3.2.3 Tools for analysis	**8**
	3.3 Variables	**9**
	3.4 Hypothesis	**9**
4.	**ANALYSIS AND INTERPRETATION**	**10**
	4.1 Testing hypothesis 3.4.1	**10**
	4.2 Testing hypothesis 3.4.2	**10**
	4.3 Testing hypothesis 3.4.3	**11**
	4.4 Testing hypothesis 3.4.4	**12**
	4.5 Testing hypothesis 3.4.5	**12**
	4.6 Testing hypothesis 3.4.6	**13**
	4.7 Testing hypothesis 3.4.7	**14**
	4.8 Testing hypothesis 3.4.8	**15**
	4.9 Analysing consumption of cosmetics	**16**
	4.10 Analysing cosmetic nationality awareness while buying	**16**
	4.12 Analysing cosmetic usage pattern	**16**
5.	**FINDINGS**	**17**
6.	**CONCLUSION**	**17**
	APPENDIX I	**18**
	REFERENCES	**21**

1. INTRODUCION

1.1 Introduction

This study was carried out to examine consumption behaviour of young females and their attitudes towards skin care cosmetics among Mepco Schlenk Engineering College students and alumni. This research focuses on the different marketing variables that affects the female cosmetic consumption as well as their decision making process for purchasing the cosmetic products. This study also explains to some extent the influence of customer decision making process in purchasing the skin care cosmetic products. The target sample was between the age group of 19 years to 24 years females. This age group fall under the category of young generation and they can be categories in the Millennials (those who are born after 1980). This study may also help various cosmetic companies to formulate their strategies for marketing the cosmetic products. Primary data was obtained through questionnaire. The results were analysed through SPSS version 20.

1.2 Research Background

Use of cosmetics is not latest trend; it has its roots deep within the annals of history. The word cosmetic has been given this modern name lately. Through regular and formal use of cosmetics has gained momentum now, it has been in some form or other since a long time. To cite an example of the long usage of cosmetic, the cosmetics depict had found its origin in China in the 4th century BC. Indians too has not remained far behind in the development and frequent usage of cosmetics. Household utility like Vasambu , sandal paste, turmeric, aloe vera have been used centuries to preserve the natural beauty of skin. The reason for their usage was adequate availability of pure material, apt knowledge of natural formulation and virtually zeros effects.

The cosmetics industry, which started glowing in the early 1990s, is expanding exponentially. With more women and men becoming conscious of their and willing to spend on their grooming, this industry has been growing at 20-25 percent the last few years. No wonder then that the shelves are stocked with a plethora of products and brands, targeted at various segments, catering to the various needs of customers. The enormous growth in this segment has not only attracted many MNCs but also provided space for many Indian companies to foray or expand their product range. This not only means that consumers are willing to spend the extra bit to look and feel good, but also indicates the constant up gradation from mass to premium products. Though mass products still constitute a major portion of the market, a certain segment is obviously ready to upgrade to the next category as disposable incomes rise. Increased media exposure, the willingness to spend more on personal care, consciousness about looks, and advertisements and promotions targeting various consumer segments are some reasons for these trends in consumption and penetration.

At present in India, the demand for cosmetics products are so high that it could become the world's largest cosmetic consuming country in the next few decades, due to the rising demand a large number of local as well as international manufacturers have gradually extended their ranges and product lines in different provinces of India. Cosmetic industry in India came into limelight immediately after the globalization of 1991 which was followed by the crowning of many Indian women at the international beauty pageants. These events led to the change in the cosmetic consumption in India. In the Indian Cosmetic Industry, electronic as well as print media have played an astonishing role in spreading awareness about the cosmetic products and developing fashion consciousness among the Indian

consumers. As a result of which Indian cosmetic Industry had a rapid growth in the last couple of years, growing at a CAGR of around 7.5% between 2006 and 2008. While this is due to the improving purchasing power and increasing fashion consciousness, the industry is expected to maintain the momentum growth during the period 2009-2012. (*Vandana Gupta - GYANPRATHA – ACCMAN)* With the coming up of the satellite television, number of television channels as well as the Internet in the today's scenario, the Indian consumers are constantly being updated about all the new cosmetic products and are translated into the desire to purchase them. In addition to all this, the flourishing Indian fashion/film industry also plays a very fruitful role in fuelling the growth into the Cosmetic industry by making Indians to realize the importance of having good looks and appearances. Today most of the cosmetics manufacturers, in India cater to the domestic market but they are gradually establishing their footholds in overseas markets as well.

The herbal cosmetics industry is providing full support to the beauty business in India and is expected to grow at a rate of 7% as more people use chemical products in favor of organic ones. According to a new research report, the Indian Cosmetics Industry is expected to witness impressive growth rate in the near future, owing to rising beauty concern of both men and women. Currently the industry holds promising growth prospects for both existing and new players. The Indian Cosmetic market which is traditionally a stronghold of a few major Indian players like Godrej Consumer Care, Hul, Emami, ITC and a lot many, have seen foreign entrants into the market within the last decade. (Wikipedia). As India is a very price sensitive market of the cosmetics and personal care products, considering this in mind, the new foreign entrants had to work out new innovative strategies that suited the Indian preferences, for this they budgeted themselves to establish a hold onto the Indian market and finally are able to established a "niche market" for themselves. On the other part, the Indian players, counter attacked the foreign entrants by going in for rural expansion and are offering specialized products to generate revenues from all the corners of the country. (www.jana.com)

India has now become a developed market for cosmetic players since the last decade. Currently there are several cosmetic manufacturing companies, who are operating in all kinds of cosmetics. In the entire range of products that fall within the territory of the Indian cosmetic, the most popular items are color cosmetics, of which nail varnish, lipsticks and lip glosses account for the most sales. In this area, popular local brand names include Lakme and Revlon. Skin-care cosmetics have experienced a slower growth and products such as anti-wrinkle creams, cleansers and toners, for instance are not as popular as facial creams, moisturizers and fairness creams in this genre. Companies like Ponds and Fair and Lovely rule the roost in this segment. Unilever and Procter & Gamble are major players in the Indian cosmetic sector of shampoos and hair products. However, the Indian skin-care cosmetic sector now has a few foreign brands to compete with these giants as well. Finally, one of the most popular cosmetic produced in India are herbal cosmetics which have gained popularity internationally in recent years, Emami and Ayur herbal products are the most well-known in this area.(Wikipedia)

There is a rise in the awareness of Indian consumers towards the cosmetics which leads to the rise in the overall growth of the cosmetic industry. As a rise in the demand of existing products is seen the companies are coming with new products having new features. The Indian cosmetics market registered impressive sales worth INR 264.1 Billion in 2011, and with rising purchasing power and growing fashion consciousness, the industry is estimated to expand at a CAGR of around 17% during 2011-2015. As per the "Indian Cosmetic Sector Forecast to 2015", there is a very good opportunity for existing as well as new players. There is a boom in internet, television etc and people are very much exposed to these

different channels which finally leads to the awareness in the people regarding cosmetics and make them up to date. (*Vandana Gupta - GYANPRATHA – ACCMAN)*

One of the studies of Associated Chambers of Commerce and Industry of India (ASSOCHAM) has mentioned that the higher age group women have higher disposable incomes. Because of this reason many foreign players enter into the Indian cosmetic market with new products specially meant to women over 30 years of age. The herbal cosmetic products are popular in India and many of the herbal solutions also have Indian origin. The overall skin care market in India is expected to grow at more than 10% in next five to six years (kuickresearch.com). India is also a huge market for Millennials (born after 1980's). There is a range product for Millennials in Indian market not only in the category of synthetic cosmetic products but also in the category of Ayurveda and herbal cosmetic products. In this segment, basic skin care products such as face washes, anti-blemish creams, and spot-reduction solutions are in demand.

This study was carried out to examine the consumption behaviour of young females and their attitudes towards skin care cosmetics among Mepco Schlenk Engineering College students and its alumni. This research focuses on the different marketing variables that affects the female cosmetic consumption as well as their decision making process for purchasing the cosmetic products. In this study we tried to analyse whether people prefer Indian cosmetic brands more or Foreign Brands more. Interestingly it was also observed that more people in the sample prefer Indian Brand cosmetics to Foreign Brands. It was observed that the mind of consumer is changing and they are moving towards the natural and herbal cosmetic products because they feel that these natural products can increase their physical appearance in a better way than that of cosmetic from synthetic origin. It is also seen that the attractiveness of the product in terms of brand, package, ease to use and also the consumers' prior experience influences the choice of a Foreign and Indian product. Fascinatingly people who prefer Indian Brand cosmetics are seen to be using atleast 1 foreign brand cosmetics and vice versa.

1.3 Problem Statement

Changing lifestyles of people automatically change their perception over the cosmetic brands too. As the disposable income increases people wish to spend on varieties and premium products. At times it even acts as a status icon. Hence it resulted in the study about whether people get influenced by the presence of foreign cosmetics products in the market while making purchase decision. If so the factors influencing it and the comparative perspective people have on Indian brand cosmetics also become necessary to be analysed.

1.4 Scope of the study

The study was conducted among the female students and the alumni of Mepco Schlenk Engineering College. Total number of respondents was 150. Their categories were

- UG students – 30
- PG Students – 110
- Working women – 10

1.5 Study Objective

- To study whether people prefer foreign cosmetics brands more or Indian cosmetic brands.
- To study the factors those influence in preferring a cosmetic product.
- To study the average consumption of foreign and Indian cosmetic brands.
- To know whether people actually look the nationality of a cosmetic product while buying it.

2. LITERATURE REVIEW

The cosmetic industry is a multinational, multi-billion-dollar-industry that cannot be separated from women. Cosmetics are not only make-up and perfumes but also come in many forms ranging from powders, facial make-up, soap, shampoo and skin care. Consumers' tendency to replace the product they own by buying a new one depends on their experiences with and feelings toward their old product. (Wood, V. R., Darling, J. R., & Siders, M. (1999)).The globalization of markets presents continual opportunities and challenges for marketers. As targeted consumers in worldwide markets become more accustomed to products and marketing activities from foreign rivals, there is a growing interest in understanding the factors related to their evaluations of and preferences for attributes associated with foreign producers. (Balabanis, G., Diamantopoulos, A. (2004)).

(i) Influence among students :

However, students are more likely to be the target of cosmetic products. And, this group people, especially students in higher learning Institution has been considered as a potential group of customers by cosmetic industry. This people use various types of cosmetic products in everyday- life to promote their good looking and personality. They also tend to seek for a variety of satisfied products. Many studies were conducted to examine behavior on cosmetic purchasing and factors related to cosmetic consumption behavior among University students. (Azuizkulov, D. (2013)). A final important consideration is that young consumers are always seen as trendsetters who have major influence on purchase decisions of their peers and parents . It also has been studied that during these young ages, the consumers started to develop their loyal buying pattern and most likely to continue with them throughout their adult lives. Research has proven that the buying pattern formulated among young consumers was influenced by variety of outside factors or environmental factors. (Siti Nor, B. A., Juhdij, N., Jasin, D., & Saidon, J. (2009)).

(ii) Influence among ethnocentric consumers:

Consumer self-concept plays an important role in brand preference. Prior research suggests that consumer’s self-concept incorporates much more than consumer evaluations of their self-identity. This suggests that consumers may use a product in public for extrinsic social reasons as this is part of their perceived self-concept or self-image. (Watson, J.J., Wright, K. (2000)). Consumers who purchase local brands for ethnocentric reasons will tend to think that local brands are superior to foreign brands regardless of their perceptions of product quality as the local brands fit better with their national social identity. They still prefer foreign brands when there is lack of availability if their usual brand or for a change opting a new brand which turns out to be a foreign brand. (Siti Nor, B. A., Juhdij, N., Jasin, D., & Saidon, J. (2009)).

(iii) Influence among women

Cosmetics are used among female for beautifying purposes which includes cleaning body parts, changing skin tones and colors that make the users feel good about themselves. Since beginning, cosmetics companies have targeted female audiences and more are also competing to reach younger female audiences. Companies are building their products, which they called light-based products, to attract younger consumer. In addition, due to the revolutionary technology, more and more companies have an ability to produce for their consumers regardless of sex, age group and ethnic background. (Siti Nor, B. A., Juhdij, N., Jasin, D., & Saidon, J. (2009)). Despite the increasing demand for cosmetic products among women as well as men, little is known about how consumer characteristics and cosmetic usage patterns influence perceptions of cosmetic brands. (Guthrie, M., Hye-Shin, K., & Jung, J. (2008)).With the stiff competition on numerous brands of cosmetics from local entrepreneurs and

imported brands in the market, this might provide the marketers of each foreign brand with ample possibilities to create marketing programs that fit their target consumers. (Siti Nor, B. A., Juhdij, N., Jasin, D., & Saidon, J. (2009)).

(iv) Influencing parameters

The consumer sets different parameter while purchasing cosmetics such as quality, reputation of brand, availability, price, look design of pack, advertising, fragrance, chemicals, motivation, moistures, culture, social class, family, reference group, age, life cycle stage, occupation, economic situation etc. (Jamal, A., Goode, M.M.H. (2001)).However, taking into consideration, different aspect of consumer behaviour, the study have thrown light on frequency of purchase, awareness of brands, usage of brands, different mode of promotion by which consumer get attracted, different factor influence consumer purchase decision, switching to other brands and preference of cosmetic. (K, M. N., & Nale, A. (2013)).Over the last few decades sales promotion has become a great interest to researchers. This has been said, however, research studies have focused on some tools of sales promotion, such as price reductions and couponing, and have put little emphasis on others. (Adomaitis, A.D. and Johnson, K.P, (2008)). One particularly important promotional tool was product sampling (K, M. N., & Nale, A. (2013)).

(v) Brand personality

Brand personality, the group of human characteristics that describe a specific brand, is similar to human personality because consumers ascribe human qualities to brand names and often feel they relate to brands in a personal way. By revealing the characteristics consumers value, brand personality plays a determining role in brand choice. (Levine, J. (1993)). Exciting brands were found to be more resilient to marketplace errors, whereas sincere brands were more sensitive. Studies confirm the positive relationships between brand personality dimensions and positive brand attitudes, purchase intentions and brand associations. (Michelle, F. G., & Hye-shin Kim. (2009)).

(v) Customer’s decision making style

Consumer decision-making style is defined as, "a mental orientation characterising a consumer's approach to making choices", and propose that consumers adopt a shopping "personality" that is relatively fixed and predictable in much the same way as psychologists view personality in its broadest sense. The CSI was developed and validated from a sample of 482 US high-school students, late Generation X consumers, who were asked about their decision-making style for personal products (i.e. cosmetics). In total 40 items pertaining to affective and cognitive orientations in decision making are the basis from which eight potential styles or traits affecting behaviour can be identified. Although some theorists propose that shopping is both of interest and performed equally by men and women, many studies of shopping behaviour have employed all-female samples. This practice reflects a widely held view that gender is fundamental to understanding and predicting shopping behaviour. One study that focussed on gender differences concluded that women hold diametrically opposed values regarding "effective" shopping compared with men. In essence, these differences manifested in terms of the time spent browsing and researching choices (Chingching, C. and Mark, R. (2004)). Women enjoyed the process and were happy to spend considerable time and mental energy, while men sought to buy quickly and avoid it as much as possible. Other studies have confirmed the "shopping as leisure" dimension for women and that women do shopper for longer and are more involved than men. (Bakewell, C., & Vincent-Wayne Mitchell. (2003)).The key, again, is that differentiation advantages come only from products and marketing practices that are meaningful to target customers. The objective is to understand the drivers of customer satisfaction and loyalty that are related to customer propensity to buy and use specific products (Morton and Devine, 1995; Levine, 1993; Evans and Laskin, 1994; Slater and Narver, 1994).

3. RESARCH DESIGN

3.1 Data

3.1.1 Nature of data

The data used in this research are primary data.

3.1.2 Sources of data

Questionnaires were distributed as hard copy as well as Google forms to the female students of Mepco Schlenk Engineering College and its alumni and their responses were collected.

- UG students (Age 19-21)
- PG Students (Age 21 – 24)
- Working alumni (in cities) (Age 21 – 35)

3.1.3 Tool for data collection

A structured questionnaire is used for data collection (Appendix 1). Responses were collected in the form of nominal data, ordinal data and 5 point likert scale. Both open ended and close ended questions were used.

3.2 Sampling Design

3.2.1 Sample Method

In this research, convenience sampling method is used for collecting data.

3.2.2 Sample size

The total population considered is the students and the alumni of Mepco Schlenk Engineering College, Sivakasi. The sample size is 150. The table below gives the categorized sample size.

Occupation	Age range	Count
UG student	19- 21	30
PG student	21-24	110
Working women	21 and above	10

3.2.3 Tools used for analysis

- Correlation
- Frequency analysis (Multiple responses)
- Average

3.3 Variables

3.1 Independent variables

- Product attractiveness
- Brand awareness
- Family status
- Effect on users
- Brand details
- Volume
- Natural Ingredients

3.2 Dependent variables

- Preference of foreign brand cosmetics
- Preference of Indian brand cosmetics

3.4. Hypothesis

3.4.1 **H0 :** There is no influence of foreign brands on the customer preference in their choice of Cosmetics.
H1 : There is influence of foreign brands on the customer preference in their choice of cosmetics.

3.4.2 **H0 :** Product attractiveness is not positively related with cosmetic brand preference.
H1 : Product attractiveness is positively related with cosmetic brand preference.

3.4.3 **H0 :** Brand awareness is not positively related with cosmetic brand preference.
H1 : Brand awareness is positively related with cosmetic brand preference.

3.4.4 **H0 :** Family status is not positively related with cosmetic brand preference.
H1 : Family status is positively related with cosmetic brand preference.

3.4.5 **H0 :** Effect on users is not positively related with cosmetic brand preference.
H1 : Effect on users is positively related with cosmetic brand preference.

3.4.6 **H0 :** Brand details is not positively related with cosmetic brand preference.
H1 : Brand details is positively related with cosmetic brand preference.

3.4.7 **H0 :** Volume is not positively related with cosmetic brand preference.
H1 : Volume is positively related with cosmetic brand preference.

3.4.8 **H0 :** Natural ingredients presence does not affect cosmetic brand preference.
H1 : Natural ingredients presence affects cosmetic brand preference.

4. ANALYSIS AND INTERPRETATION

4.1 Testing hypothesis 3.4.1

H0 : There is no influence of foreign brands on the customer preference in their choice of cosmetics.
H1 : There is influence of foreign brands on the customer preference in their choice of cosmetics.

Test : KMO and Bartlett's Test

KMO and Bartlett's Test[a]		
Kaiser-Meyer-Olkin Measure of Sampling Adequacy.		.650
Bartlett's Test of Sphericity	Approx. Chi-Square	872.333
	df	325
	Sig.	.000
a. Based on correlations		

Inference : The significance value 0.000 depicts that there is considerable relation between the factors. Hence the alternate hypothesis is accepted. There is influence of foreign brands on the customer preference in their choice of cosmetics.

4.2 Testing hypothesis 3.4.2

H0 : Product attractiveness is not positively related with cosmetic brand preference.
H1 : Product attractiveness is positively related with cosmetic brand preference.

Test : Correlation

Correlations			
		Attractiveness IV	Opp FB DV
Attractiveness IV	Pearson Correlation	**1**	**.334****
	Sig. (2-tailed)		**.000**
	N	**150**	**150**
Opp FB DV	Pearson Correlation	**.334****	**1**
	Sig. (2-tailed)	**.000**	
	N	**150**	**150**
**. Correlation is significant at the 0.01 level (2-tailed).			

Correlations			
		Attractiveness IV	Opp IB DV
Attractiveness IV	Pearson Correlation	**1**	**.263****
	Sig. (2-tailed)		**.001**
	N	**150**	**150**
Opp IB DV	Pearson Correlation	**.263****	**1**
	Sig. (2-tailed)	**.001**	
	N	**150**	**150**
**. Correlation is significant at the 0.01 level (2-tailed).			

Inference : Pearson correlation of 0.334 in table 1 refers that there is 33.4 % positive correlation between product attractiveness and foreign cosmetic brand selection. Pearson correlation of 0.263 in table 2 refers that there is 26.3 % positive correlation between product attractiveness and Indian cosmetic brand selection. Here the correlation is less significant. Significance value 0.000 and 0.001 respectively indicates that the results are statistically significant. The alternate hypothesis is accepted. Product attractiveness is positively related with cosmetic brand preference.

4.3 Testing hypothesis 3.4.3

H0 : Brand awareness is not positively related with cosmetic brand preference.
H1 : Brand awareness is positively related with cosmetic brand preference.

Test : Correlation

Correlations			
		Awareness IV	Opp FB DV
Awareness IV	Pearson Correlation	**1**	**.100**
	Sig. (2-tailed)		**.223**
	N	**150**	**150**
Opp FB DV	Pearson Correlation	**.100**	**1**
	Sig. (2-tailed)	**.223**	
	N	**150**	**150**

Correlations			
		Awareness IV	Opp IB DV
Awareness IV	Pearson Correlation	**1**	**.138**
	Sig. (2-tailed)		**.092**
	N	**150**	**150**
Opp IB DV	Pearson Correlation	**.138**	**1**
	Sig. (2-tailed)	**.092**	
	N	**150**	**150**

Inference : Pearson correlation of 0.100 in table 1 refers that there is 10 % positive correlation between product awareness and foreign cosmetic brand selection. Pearson correlation of 0.138 in table 2 refers that there is 13.8 % positive correlation between product awareness and Indian cosmetic brand selection. The correlation is very less significant. However the significance value above 0.05 indicates that the results are not statistically significant. Hence the null hypothesis is accepted. Brand awareness is not positively related with cosmetic brand preference.

4.4 Testing hypothesis 3.4.4

H0 : Family status is not positively related with cosmetic brand preference.
H1 : Family status is positively related with cosmetic brand preference.

Test : Correlation

Correlations			
		Family status IV	Opp FB DV
Family status IV	Pearson Correlation	1	.100
	Sig. (2-tailed)		.223
	N	150	150
Opp FB DV	Pearson Correlation	.100	1
	Sig. (2-tailed)	.223	
	N	150	150

Correlations			
		Family status IV	Opp IB DV
Family status IV	Pearson Correlation	1	.138
	Sig. (2-tailed)		.092
	N	150	150
Opp IB DV	Pearson Correlation	.138	1
	Sig. (2-tailed)	.092	
	N	150	150

Inference : Pearson correlation of 0.100 in table 1 refers that there is 10 % positive correlation between family status and foreign cosmetic brand selection. Pearson correlation of 0.138 in table 2 refers that there is 13.8 % positive correlation between family status and Indian cosmetic brand selection. The correlation is very less significant. However the significance value above 0.05 indicates that the results are not statistically significant. Hence the null hypothesis is accepted. Family status is not positively related with cosmetic brand preference.

4.5 Testing hypothesis 3.4.5

H0 : Effect on users is not positively related with cosmetic brand preference.
H1 : Effect on users is positively related with cosmetic brand preference.

Test : Correlation

Correlations			
		effect on People IV	Opp FB DV
effect on People IV	Pearson Correlation	1	.100
	Sig. (2-tailed)		.223
	N	150	150
Opp FB DV	Pearson Correlation	.100	1
	Sig. (2-tailed)	.223	
	N	150	150

Correlations			
		effect on People IV	Opp IB DV
effect on People IV	Pearson Correlation	1	.138
	Sig. (2-tailed)		.092
	N	150	150
Opp IB DV	Pearson Correlation	.138	1
	Sig. (2-tailed)	.092	
	N	150	150

Inference : Pearson correlation of 0.100 in table 1 refers that there is 10 % positive correlation between effect on users and foreign cosmetic brand selection. Pearson correlation of 0.138 in table 2 refers that there is 13.8 % positive correlation between effect on users and Indian cosmetic brand selection. The correlation is very less significant. However the significance value above 0.05 indicates that the results are not statistically significant. Hence the null hypothesis is accepted. Effect on users is not positively related with cosmetic brand preference.

4.6 Testing hypothesis 3.4.6

H0 : Brand details is not positively related with cosmetic brand preference.
H1 : Brand details is positively related with cosmetic brand preference.

Test : Correlation

Correlations			
		Brand details IV	Opp FB DV
Brand details IV	Pearson Correlation	1	.100
	Sig. (2-tailed)		.223
	N	150	150
Opp FB DV	Pearson Correlation	.100	1
	Sig. (2-tailed)	.223	
	N	150	150

Correlations			
		Brand details IV	Opp IB DV
Brand details IV	Pearson Correlation	1	.138
	Sig. (2-tailed)		.092
	N	150	150
Opp IB DV	Pearson Correlation	.138	1
	Sig. (2-tailed)	.092	
	N	150	150

Inference : Pearson correlation of 0.100 in table 1 refers that there is 10 % positive correlation between brand details and foreign cosmetic brand selection. Pearson correlation of 0.138 in table 2 refers that there is 13.8 % positive correlation between brand details and Indian cosmetic brand selection. The correlation is very less significant. However the significance value above 0.05 indicates that the results are not statistically significant. Hence the null hypothesis is accepted. Brand details is not positively related with cosmetic brand preference.

4.7 Testing hypothesis 3.4.7

H0 : Volume is not positively related with cosmetic brand preference.
H1 : Volume is positively related with cosmetic brand preference.

Test : Correlation

Correlations			
		Volume IV	Opp FB DV
Volume IV	Pearson Correlation	1	.100
	Sig. (2-tailed)		.223
	N	150	150
Opp FB DV	Pearson Correlation	.100	1
	Sig. (2-tailed)	.223	
	N	150	150

Correlations			
		Volume IV	Opp IB DV
Volume IV	Pearson Correlation	1	.138
	Sig. (2-tailed)		.092
	N	150	150
Opp IB DV	Pearson Correlation	.138	1
	Sig. (2-tailed)	.092	
	N	150	150

Inference : Pearson correlation of 0.100 in table 1 refers that there is 10 % positive correlation between product volume and foreign cosmetic brand selection. Pearson correlation of 0.138 in

table 2 refers that there is 13.8 % positive correlation between product volume and Indian cosmetic brand selection. The correlation is very less significant. However the significance value above 0.05 indicates that the results are not statistically significant. Hence the null hypothesis is accepted. Product volume is not positively related with cosmetic brand preference.

4.8 Testing hypothesis 3.4.8

H0 : Natural ingredients presence does not affect cosmetic brand preference.
H1 : Natural ingredients presence affects cosmetic brand preference.

Test : Correlation

Correlations			
		Natural IV	Opp FB DV
Natural IV	Pearson Correlation	1	-.007
	Sig. (2-tailed)		.930
	N	150	150
Opp FB DV	Pearson Correlation	-.007	1
	Sig. (2-tailed)	.930	
	N	150	150

Correlations			
		Natural IV	Opp IB DV
Natural IV	Pearson Correlation	1	.234**
	Sig. (2-tailed)		.004
	N	150	150
Opp IB DV	Pearson Correlation	.234**	1
	Sig. (2-tailed)	.004	
	N	150	150
**. Correlation is significant at the 0.01 level (2-tailed).			

Inference : Pearson correlation of -0.007 in table 1 refers that there is 0.7 % negative correlation between product's natural ingredients and foreign cosmetic brand selection. Pearson correlation of 0.234 in table 2 refers that there is 23.4 % positive correlation between product's natural ingredients and Indian cosmetic brand selection. The correlation is very less significant. However the significance value in table 2 of below 0.05 indicates that the results are statistically significant. However the results are not statistically significant for table 1. Hence the alternate hypothesis is accepted. Product's natural ingredients affect cosmetic brand preference. When it comes to foreign brand people doesn't mind the natural ingredients. But when it comes to Indian brand people do look for natural ingredients.

4.9 Analysing consumption of cosmetics

Test : Frequency analysis, Average

Nationality	Average Consumption per person
Foreign Brands	2.98
Indian Brands	4.41

Inference : Result shows that Indian brands are highly preferred than the foreign brands.

4.10 Analysing cosmetic nationality awareness while purchasing

Test : Frequency analysis, Percentage

Awareness	% of people
Aware	48 %
Highly aware	10 %

Inference : Nearly half of the people were aware whether a brand is foreign brand or Indian brand while purchasing. Only 10% of the people were thorough with the nationality while purchasing.

4.11 Analysing cosmetic usage pattern

Test : Frequency analysis, Percentage

Best opinion	Usage pattern	% of people
Foreign Brand	Atleast 1 Indian Brand, More than 1 foreign brand	7.3 %
Indian Brand	Atleast 1 Foreign Brand, more than 1 Indian Brand	8 %

Inference : Nearly 7.3% of the people use atleast 1 Indian brand even though they feel foreign brand as the best. Similarly 8% of the people use atleast 1 foreign brand even though they feel Indian brand as the best.

5. FINDINGS

- Foreign brands do influence the customers' preference in the choice of cosmetics.
- Attractiveness of the product which includes offers, package, ease of use and brand image positively influences the choice of both foreign and Indian brand cosmetics.
- Family status, Effect on users, Volume of the product, Brand details, Brand awareness are not related with the preference of a Indian or Foreign cosmetic product.
- Presence of natural ingredients positively influences the preference towards Indian brands where as its negatively related with the foreign brand preference.
- As an average a person have consumed 2.98 foreign cosmetic brands in her life so far.
- As an average a person have consumed 4.41 Indian cosmetic brands in her life so far.
- Nearly half of the people were aware whether a brand is foreign brand or Indian brand while purchasing. Only 10% of the people were thorough with the nationality while purchasing.
- Nearly 7.3% of the people use atleast 1 Indian brand even though they feel foreign brand as the best. Similarly 8% of the people use atleast 1 foreign brand even though they feel Indian brand as the best.
- People prefer Indian brand cosmetics more than the Foreign brand cosmetics

6. CONCLUSION

Though a lot of foreign brands enter Indian Cosmetic market results say that Indian brands have a steady place among the consumers. The presence of natural ingredients will give foreign brands to compete with Indian brands in full force. Summing up the presence of foreign brand does influence the cosmetic preference in the choice of the customers.

APPENDIX I

Questionnaire

Greetings,

I am a researcher interested in studying your opinion on preference of cosmetics. I kindly request you to give your sincere opinion on it as it will be very much helpful for my study. I assure you that the information you provide will be kept confidential.

AGE: **OCCUPATION:**

Family background and friends

1. I switch brand based on my family opinion / recommendation.
   ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
2. When my friends share positive views about a brand I immediately start using it.
   ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Prior Experience

3. I switch brand based on my own trial / experience.
   ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
4. If I found a brand good I buy it even if its price was raised later.
   ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
5. I prefer a cosmetic brand based on its effect I see on the people who already use it.
   ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Education

6. My educational qualification ☐ School ☐ UG ☐ PG

Economic status

7. My salary range is (Choose any 1)
   ☐ <10000 ☐ 10000 -20000 ☐ 20000 - 50000 ☐ > 50000
8. My monthly budget for cosmetics is (Choose any 1)
   ☐ <500 ☐ 500 - 1000 ☐ 1000 - 3000 ☐ 3000 - 5000 ☐ 5000 - 8000 ☐ > 8000
9. I have a fixed budget for cosmetics no matter what my salary is.
   ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
10. I consider the brand I use as a status icon.
    ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Product Cost

11. I am price conscious while buying cosmetics.
    ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
12. I am willing to spend more if it's a foreign brand.
    ☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

13. I give more importance to content voluminous than price.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Brand Image

14. I always prefer a popular brand.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

15. I generally feel local brands are the best.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

16. If it's a foreign brand I usually feel like its superior to local brands.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Brand Quality

17. If I don't see my usual brand in a shop I either wait or switch shops.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Advertisements

18. I prefer brands that show natural ingredients in advertisements.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

19. I prefer brands that show celebrity/common people sharing their life experience in ads.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

20. I don't see anything more than the brand name and the time it takes to show it effect in the ads.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Brand Awareness

21. I generally notice the nationality of the brand I buy.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

22. I mostly come to know new brands through

☐ Newspaper ☐ TV ☐ Magazines ☐ Internet ☐ Signboards

23. I search details about a brand before I switch from my usual brand.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

24. Even if someone recommends me a good brand I don't buy it unless I am aware of it personally.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Samples, Offers & Promotion

25. I often change brand when a new brand comes to market.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

26. Package / the ease of use make me buy a cosmetic brand.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

27. Most of the times I just use free samples but do not switch from my usual brand.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

28. I buy based on discounts and offers.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

- **My overall opinion about Foreign brand cosmetics**

☐ Very Good ☐ Good ☐ Neutral ☐ Bad ☐ Very Bad

- **My overall opinion about Indian brand cosmetics**

☐ Very Good ☐ Good ☐ Neutral ☐ Bad ☐ Very Bad

Mark all the brands that you use

- Avon
- Amway
- Burberrys
- Calvin Klein
- Cartier
- Christian Dior
- Estee Lauder
- Elizabeth Arden
- Lancome
- Chambor
- Coty
- L'Oreal
- Oriflame
- Garnier
- Revlon
- Yardley
- Vini
- Fairever
- Godrej
- Dove
- Ponds
- Tresseme
- Tigi
- Blue Heaven
- ELF
- Dior
- Eva
- AyurHerbals
- Flora
- Incolor
- Kryolan
- Olay
- Maybelline
- Inglot
- Lush
- Jafra
- Lotus Herbals
- Mac
- YSL
- Zoya
- Himalaya
- Niveya
- Eyetex Dazler
- Gogul
- Vivel
- Fiama de Wills
- Ayush
- Fair and Lovely
- Emami
- Shanna Hussain's
- Wella
- Schwarzkopf
- Escada
- Nina Ricci
- Rochas
- Clean & clear
- Yves St.
- Laurent
- Tommy Hilfiger
- Max factor
- Max Mara
- Shiseido
- Lakme

If any other please specify :

---------- THANK YOU FOR YOUR CONTRIBUTION ----------

REFERENCES

Adomaitis, A.D. and Johnson, K.P, (2008), "Advertisements: Interpreting images used to sell to young adults", Journal of Fashion Marketing and Management", Vol. 12 No.2, pp. 182-92

Azuizkulov, D. (2013). Country of origin and brand loyalty on cosmetic products among university utara Malaysia students. Atlantic Review of Economics, 2, 1-39.

Bakewell, C., & Vincent-Wayne Mitchell. (2003). Generation Y female consumer decision-making styles. International Journal of Retail & Distribution Management, 31(2), 95-106.

Balabanis, G., Diamantopoulos, A. (2004) Domestic country bias, country-of-origin effects, and consumer ethnocentrism: A multidimensional unfolding approach. Journal of the Academy of Marketing Science, 32(1), 80-95.

Bhattacharya, P. (2006). India's cosmetic market ready for big leap. Global Cosmetic Industry, 174(1), 42-44.

Chingching, C. and Mark, R. (2004), "The interplay of product class knowledge and trial experience in attitude formation", Journal of Advertising, Vol. 33 No. 1, pp. 83-93.

Dimitrova, V., Kaneva, M., & Gallucci, T. (2009). Customer knowledge management in the natural cosmetics industry. Industrial Management + Data Systems, 109(9), 1155-1165.

Evans, J.R. and Laskin, R.L. (1994), "The relationship marketing process: a conceptualization and application",
Industrial Marketing Management, Vol. 23, December, pp. 439-52.

Guthrie, M., Hye-Shin, K., & Jung, J. (2008). The effects of facial image and cosmetic usage on perceptions of brand personality. Journal of Fashion Marketing and Management, 12(2), 164-181.

Hsin, K. C., Huery, R. Y., & Cherng-Ying Chiou. (2009). The effects of brand affect on female cosmetic users brand loyalty in taiwan. Journal of American Academy of Business, Cambridge, 14(2), 230-236.

Insaf, B. A., & Guilbert, F. (2009). Influences on free samples usage within the luxury cosmetic market. Direct Marketing, 3(1), 67-82

Jamal, A., Goode, M.M.H. (2001) Consumers and brands: A study of the impact of self-image congruence on brand preference and satisfaction. Marketing Intelligence and Planning, 19(7), 482-492.

Johar, J.S., Sirgy, M.J. (1991) Value-expressive versus utilitarian advertising appeals: When and why to use which appeal. Journal of Advertising, 20 (3), 23-33.

K, M. N., & Nale, A. (2013). A study of consumer buying behavior for bath soaps in pune city. International Journal of Marketing and Technology, 3(3), 100-118.

Kaynak, E., Kara, A. (2002) Consumer perceptions of foreign products: An analysis of product-country images and ethnocentrism. European Journal of Marketing, 36(7), 928-949.

Levine, J. (1993), "Relationship Marketing", Forbes, 20 December, pp. 232-3.

Lundstrom, W.J., Lee, O.W., White, D.S. (1998) Factors influencing Taiwanese consumer preference for foreign made white goods: USA versus Japan. Asia Pacific Journal of Marketing and Logistics, 10(3), pp.5-29.

Michelle, F. G., & Hye-shin Kim. (2009). The relationship between consumer involvement and brand perceptions of female cosmetic consumers. Journal of Brand Management, 17(2), 114-133.

Morton, J. and Devine, H. (1995), "How to diagnose what buyers really want", Business Marketing, October, pp. 70-83.

Moschis, G.P. and Cox, D. (1989), "Deviant consumer behaviour", in Srull, T. (Ed.), Advances in Consumer Research, Vol. 16, Association for Consumer Research, Provo, UT, pp. 732-6.

Nagashima, A. (1970), "Comparison of Japanese and US attitudes toward foreign products", Journal of Marketing, Vol. 34, January, pp. 68-74.

Olsen, J.E., Granzin, K.L., Biswas, A. (1993) Influencing consumers' selection of domestic versus imported

products: Implications for marketing based on a model of helping behavior. Journal of the Academy of Marketing Science, 21(4), 307-321.

Rojanadilok, Thanisorn, & Bunchapattanasakda. (2011). Marketing strategies of imported herbal cosmetic products in thailand. Information Management and Business Review, 3(4), 217-221.

Schuiling, I., Kapferer, J.N. (2004) Real differences between local and international brands: Strategic implications for international marketers. Journal of International Marketing, 12(4), pp. 97-112.

Slater, S. and Narver, J. (1994), "Does competitive environment moderate the market orientation performance relationship", Journal of Marketing, January, pp. 46-55.

Shih-Tung Shu, Stephen Strombeck, Chia-Ling Hsieh (2013) Consumer Ethnocentrism, Self-Image Congruence and Local Brand Preference: A Cross-National Examination . Asia Pacific Management Review 18(1) (2013) 43-61

Siti Nor, B. A., Juhdij, N., Jasin, D., & Saidon, J. (2009). Consumer ethnocentrism and influence of role model on young female purchase intentions towards cosmetic product. The Business Review, Cambridge, 13(2), 170- 177.

S, V. D. (2012). Factors for specific brand preference-study with reference to ponds talcum powder. International Journal of Marketing and Technology, 2(4), 92-102.

Watson, J.J., Wright, K. (2000) Consumer ethnocentrism and attitudes toward domestic and foreign products. European Journal of Marketing, 34(9), 1149-1166.

Wright, A.A. and Lutz, R.J. (1993), "Effects of advertising and experience on brand judgments", Advances in Consumer Research, Vol. 20 No. 1, pp. 165-70.

Wood, V. R., Darling, J. R., & Siders, M. (1999). Consumer desire to buy and use products in international markets how to capture it, how to sustain it. International Marketing Review,